



BUSINESS REQUIREMENTS DOCUMENT (BRD)

Profitability & Commercial Performance Analytics

A business requirements blueprint for building an executive analytics solution to monitor growth, evaluate profitability, and uncover key business drivers for informed commercial decisions.



STAKEHOLDER

Profitability Analysis Stakeholder



PROJECT OBJECTIVE

Evaluate commercial performance through the lenses of Revenue Growth, Profitability, and Revenue Quality



SCOPE

Transactional sales, returns, customer, product, and territory data analysis



TIME PERIOD

1 January 2015 – 30 June 2017



PREPARED BY

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DATE

9 June 2026 to 19 June 2026



1. Executive Summary

Why this dashboard exists.

Executive Summary

Adventure Works is seeking to improve visibility into the drivers of commercial performance and profitability across products, customers, categories, and regions.

While revenue growth is an important indicator of business performance, growth alone does not guarantee value creation. Revenue can increase while profitability deteriorates due to unfavorable product mix, rising costs, or increasing product returns.

The dashboard provides a structured analytical environment that enables stakeholders to understand:

- How revenue is generated
- Which areas contribute most to profitability
- Where margin erosion is occurring
- What revenue is at risk due to returns
- Which products, customer segments, and regions deserve greater investment

It supports commercial decision-making by combining growth, profitability, and return analysis within a single analytical framework.

2. Business Objective

What this dashboard is built to achieve.

Business Objective

Improve commercial decision-making by identifying the drivers of **Profit**, **Profit Margin %**, and **Revenue Growth %**.

The dashboard enables stakeholders to:

- Monitor business performance
- Investigate profitability drivers
- Evaluate revenue quality
- Identify return-related leakage
- Allocate resources toward high-performing products, categories, customer segments, and regions

Why profitability is the primary focus:

Sustainable business performance depends not only on growing revenue but also on converting that revenue into profit efficiently. Growth without margin discipline can erode long-term value.

3. Stakeholder Overview

Who this dashboard is built for, and what they need from it.

Primary Stakeholder: Profitability Analysis Stakeholder

Owns the evaluation of commercial performance and profitability across the business, and drives resource allocation and margin-improvement decisions.

Responsibilities

- Monitor business profitability
- Evaluate commercial performance
- Allocate investment across products and regions
- Identify margin erosion risks
- Review product portfolio performance
- Support growth and profitability strategies

Key Decisions

- Resource allocation
- Product portfolio optimization
- Regional investment prioritization
- Return reduction initiatives
- Margin improvement initiatives
- Revenue growth strategy

Information Required

- Revenue
- Profit
- Profit Margin %
- Revenue Growth %
- Return Rate %
- Product / Category Performance
- Regional Performance
- Customer Segment Performance

4. Scope

What this dashboard covers, and what it deliberately leaves out.

✓ In Scope

- Revenue analysis
- Profitability analysis
- Revenue growth analysis
- Product analysis
- Category analysis
- Customer segment analysis
- Regional analysis
- Return analysis
- Revenue contribution analysis
- Mix shift analysis
- Profit driver analysis

✗ Out of Scope

- Market basket analysis
- Product recommendation systems
- Forecasting
- Demand prediction
- Discount analysis
- Customer lifetime value analysis
- Return reason analysis
- Customer-level return behavior analysis

Out-of-scope items are listed in Section 12, "Future Enhancements," as candidates for later phases.

5. Business Questions & Decisions Matrix

Every analytical capability in this dashboard maps back to a specific business question and decision.

ID	Business Question	Business Decision Supported	Priority
BQ-01	How does monthly revenue and order volume vary across the year, and are seasonal patterns consistent across 2015–2017?	Inventory planning, promotion timing, staffing planning	High
BQ-02	Which regions are driving or dragging overall revenue, and has that pattern shifted across the three years?	Regional investment and corrective actions	High
BQ-03	What is the return rate by product category, does it correlate with order volume, and does it vary significantly across territories?	Product quality and return policy review	High
BQ-04	Which customer segments generate the highest revenue, and are they growing or shrinking?	Customer targeting and loyalty initiatives	High

BQ-05	What is the revenue contribution by product category, and how has category-level mix shifted year over year?	Portfolio diversification and marketing allocation	High
BQ-06	Are high-return products also high-revenue products and what does that imply for net revenue?	Revenue protection and return reduction	High
BQ-07	What is the AOV trend over time, and is revenue growth primarily driven by changes in order volume, AOV, or both?	Acquisition vs upselling strategy	High
BQ-08	Which products have high volume but low revenue contribution?	Catalog and inventory optimization	Medium
BQ-09	Which products have high revenue but low profit?	Margin improvement initiatives	High
BQ-10	Which products, categories, and regions generate the highest profit?	Resource allocation decisions	High
BQ-11	Are we growing revenue at the expense of profitability?	Growth strategy evaluation	High

6.1 KPI Requirements — Profit

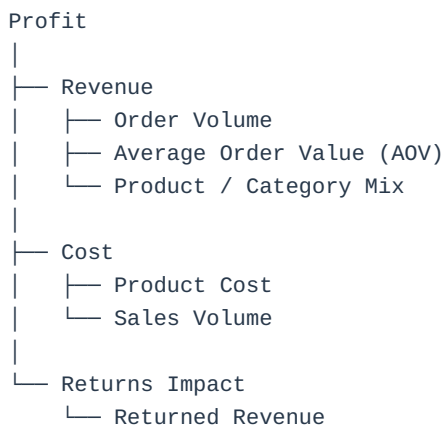
The primary outcome KPI: the financial value the business actually creates.

$$\text{Profit} = \text{Revenue} - \text{Cost}$$

Business Definition: Total financial value generated after product-related costs are deducted from revenue.

Business Purpose: Measures overall business value creation and serves as the primary outcome KPI.

KPI Dependency Framework



Profit is a derived metric — it is not stored directly in the source data and is calculated at query time from Revenue and Cost.

6.2 KPI Requirements — Profit Margin %

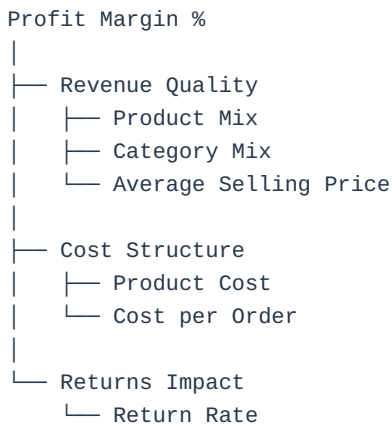
The efficiency lens: how much of every revenue dollar is retained as profit.

$$\text{Profit Margin \%} = (\text{Profit} \div \text{Revenue}) \times 100$$

Business Definition: Percentage of revenue retained as profit.

Business Purpose: Measures revenue quality and profitability efficiency.

KPI Dependency Framework



A growing top-line Revenue figure can mask a declining Profit Margin % — this KPI is the primary check against that blind spot.

6.3 KPI Requirements — Revenue Growth %

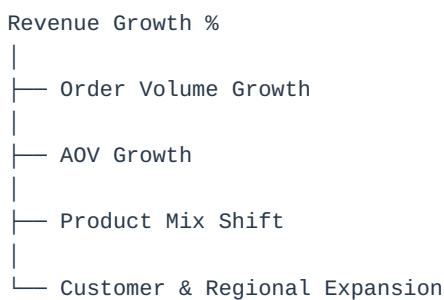
The momentum lens: how fast the business is expanding period over period.

$$\text{Revenue Growth \%} = ((\text{H1 2017 Revenue} - \text{H1 2016 Revenue}) \div \text{H1 2016 Revenue}) \times 100$$

Business Definition: Rate of revenue expansion between comparable periods.

Business Purpose: Measures business growth momentum.

KPI Dependency Framework



Growth is evaluated alongside Profit and Profit Margin % so that the dashboard always answers "growth — at what cost?"

7. Dashboard Requirements

Functional requirements the dashboard must satisfy, mapped to their business purpose.

Req ID	Requirement Description	Business Purpose	Priority
DR-01	Display Profit KPI	Monitor profitability	High
DR-02	Display Profit Margin KPI	Monitor revenue quality	High
DR-03	Display Revenue Growth KPI	Monitor growth	High
DR-04	Enable Revenue trend analysis	Identify seasonality	High
DR-05	Enable AOV and Order Volume analysis	Diagnose growth drivers	High
DR-06	Enable Revenue Contribution analysis	Identify category dependence	High
DR-07	Enable Mix Shift analysis	Understand portfolio movement	High
DR-08	Enable Profit decomposition analysis	Investigate profitability drivers	High
DR-09	Enable Return analysis	Identify revenue leakage	High
DR-10	Enable Customer analysis	Support segmentation decisions	High
DR-11	Enable Regional analysis	Support geographic decisions	High

8. Data Requirements

The tables, grain, and date range needed to power the dashboard.

Required Tables

- Calendar
- Customers
- Products
- Product Categories
- Product Subcategories
- Sales
- Returns
- Territories

Date Range

01 Jan 2015 – 30 Jun 2017

This range spans two and a half fiscal years, enabling full year-over-year and seasonal comparisons across 2015, 2016, and H1 2017.

Data Granularity

Table	Grain
Customers	One row per CustomerKey
Products	One row per ProductKey
Categories	One row per ProductCategoryKey
Subcategories	One row per ProductSubcategoryKey
Territories	One row per SalesTerritoryKey

Calendar	One row per Date
Sales	One row per OrderNumber + OrderLineItem
Returns	One row per ReturnDate + TerritoryKey + ProductKey

9. Dashboard Sections

The six analytical sections that make up the dashboard, and what each one supports.

1 Executive KPI Layer

Monitor overall business performance.

- Profit Monitoring
- Margin Monitoring
- Growth Monitoring

2 Growth Analysis

Identify revenue growth drivers.

- Seasonality Analysis
- AOV Analysis
- Order Volume Analysis
- Category Contribution Analysis

3 Profitability Analysis

Identify profitability drivers.

- Profit Decomposition
- Margin Analysis
- Product Profitability Analysis

4 Returns Analysis

Identify revenue leakage.

- Return Risk Analysis
- Product Return Analysis
- Territory Return Analysis

5 Customer Analysis

Evaluate customer segment performance.

- Segmentation Strategy
- Loyalty Initiatives

6 Regional Analysis

Evaluate geographic performance.

- Regional Investment Decisions
- Growth Prioritization

10. Success Criteria

How success will be measured.

Success Criteria

The dashboard will be considered successful if stakeholders can:

1. Identify major revenue drivers
2. Identify major profit drivers
3. Detect margin erosion
4. Detect return-related risks
5. Compare regional performance
6. Compare customer segment performance
7. Support growth and profitability decisions using data

11. Risks & Limitations

Constraints stakeholders should keep in mind.

Risks & Limitations

1. Dataset ends on 30 June 2017
2. Revenue is derived using $\text{ProductPrice} \times \text{OrderQuantity}$
3. Cost is derived using $\text{ProductCost} \times \text{OrderQuantity}$
4. Profit is derived and not stored directly
5. Returns contain no return reason
6. Customer-level return analysis is unavailable
7. Discount information is unavailable
8. Basket analysis is not possible
9. Behavioral segmentation is limited by available attributes

12. Future Enhancements

Capabilities deliberately deferred to future phases, beyond this dashboard's current scope.

1. Customer Lifetime Value (CLV) analysis
2. Forecasting and predictive analytics
3. Demand forecasting
4. Discount effectiveness analysis
5. Customer retention analysis

1. Product recommendation analysis
2. Basket analysis
3. Return reason analysis
4. Operational cost analysis
5. Territory forecasting

These items represent natural next steps once the current Profitability & Revenue Quality Dashboard is adopted and the underlying data model is extended.